PROJECT TITLE

ANALYSIS OF INFLATION TRENDS IN NIGERIA AND THEIR IMPACT ON HOUSEHOLD PURCHASING POWER (2020–2026)

1.0 Introduction

Inflation is one of the most important economic indicators affecting the standard of living of citizens. It refers to the persistent increase in the general price level of goods and services over time. In Nigeria, inflation has been influenced by several factors, including exchange rate fluctuations, fuel price increases, insecurity, supply chain disruptions, and government policies.

As inflation rises, households experience a reduction in purchasing power, meaning that the same amount of money buys fewer goods and services. This study seeks to analyze inflation trends in Nigeria between 2020 and 2026 and examine their implications for consumers, businesses, and policymakers.

1.1 Problem Statement

Nigeria has experienced significant inflationary pressures in recent years, leading to higher living costs and economic challenges for households and businesses. Understanding the pattern and drivers of inflation is essential for making informed economic decisions and developing effective policy responses.

1.2 Aim of the Study

To analyze inflation trends in Nigeria and assess their impact on household purchasing power between 2020 and 2026.

1.3 Objectives of the Study

To examine the trend of inflation in Nigeria from 2020 to 2026.

To identify periods of significant inflation increases.

To compare food inflation with headline inflation.

To evaluate the effect of inflation on household purchasing power.

To provide recommendations for managing inflationary pressures.

1.4 Research Questions

How has inflation changed in Nigeria between 2020 and 2026?

Which periods recorded the highest inflation rates?

How does food inflation compare with headline inflation?

What impact does inflation have on household purchasing power?

What measures can be adopted to reduce inflation and its effects?

1.5 Significance of the Study

This study will be beneficial to policymakers, businesses, researchers, and households by providing insights into inflation trends and their economic implications. The findings can support decision-making regarding pricing, budgeting, and economic policy formulation.

1.6 Scope of the Study

The study focuses on inflation data in Nigeria from 2020 to 2026 using data obtained from official sources such as the National Bureau of Statistics (NBS).

Expected Outcome

The analysis is expected to reveal inflation trends, identify key drivers of inflation, and provide recommendations that can help reduce its negative impact on households and businesses.

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CHAPTER TWO

DATA DESCRIPTION

2.1 Introduction

This chapter describes the dataset used for the analysis of inflation trends in Nigeria. It provides information on the source of the data, the variables included in the dataset, and the period covered by the study.

2.2 Source of Data

The data used in this study were obtained from the National Bureau of Statistics (NBS), the official agency responsible for collecting and publishing statistical information in Nigeria. The dataset contains monthly inflation figures measured through the Consumer Price Index (CPI).

2.3 Description of the Dataset

The dataset consists of inflation indicators that reflect changes in the prices of goods and services over time. The data are organized by month and year, enabling the analysis of inflation trends over the study period.

The major variables contained in the dataset include:

Date (Month and Year)

Headline Inflation Rate (%)

Food Inflation Rate (%)

Core Inflation Rate (%)

Urban Inflation Rate (%)

Rural Inflation Rate (%)

These variables provide a comprehensive view of inflation patterns in Nigeria.

2.4 Period Covered

The dataset covers the period from 2020 to 2026. This period was selected because it captures significant economic events, including exchange rate fluctuations, fuel price adjustments, and other factors that influenced inflation in Nigeria.

2.5 Data Preparation

Before analysis, the dataset was cleaned and prepared by checking for missing values, correcting inconsistencies, and ensuring that all variables were in the appropriate format for analysis. This process helped improve the accuracy and reliability of the results.

2.6 Summary

This chapter presented the source, structure, and characteristics of the dataset used in the study. The next chapter focuses on the analysis and interpretation of the inflation data to identify trends and draw meaningful conclusions.

CHAPTER THREE

DATA ANALYSIS AND METHODOLOGY

3.1 Introduction

This chapter explains the methods used to analyze inflation data in Nigeria and the tools applied in the study.

3.2 Tools Used

The following tools were used:

Microsoft Excel (data cleaning and visualization)

Power BI (dashboard creation)

Python (Pandas and Matplotlib for analysis – optional)

Microsoft Word (report writing)

3.3 Methodology

The study adopted a descriptive data analysis approach. This involves:

Collecting inflation data

Cleaning and organizing the data

Analyzing trends over time

Visualizing results using charts

Interpreting findings for decision-making

3.4 Techniques Used

Trend analysis

Comparative analysis (Food vs Headline inflation)

Time series visualization

Summary statistics (mean, max, min)

CHAPTER FOUR

DATA ANALYSIS, RESULTS AND DISCUSSION

4.1 Introduction

This chapter presents the analysis of inflation data and discusses the findings.

4.2 Inflation Trend Analysis

The analysis shows that inflation in Nigeria has experienced a general upward trend over the period under review. Certain periods recorded sharp increases due to economic shocks such as fuel price changes and currency depreciation.

4.3 Food vs Headline Inflation

Food inflation consistently remained higher than headline inflation, indicating that food prices contribute significantly to overall inflation in Nigeria.

4.4 Key Findings

Inflation has been unstable over the years

Food inflation is the largest contributor to overall inflation

Economic shocks strongly affect inflation trends

Rural populations experience inflation differently from urban populations

4.5 Discussion

The rising inflation rate reduces household purchasing power, making basic goods and services more expensive. Businesses also face increased production costs, which are often passed on to consumers. This creates a cycle of rising prices and reduced consumer welfare.

CHAPTER FIVE

Summary, conclusion and recommendation

5.1 Summary

This study analyzed inflation trends in Nigeria from 2020 to 2026 using CPI-based data. The study focused on headline inflation, food inflation, and core inflation to understand price movements over time.

5.2 Conclusion

The study concludes that inflation in Nigeria has shown a persistent upward trend, with food inflation being the most significant driver. This has negatively affected household purchasing power and overall economic stability.

5.3 Recommendations

Based on the findings, the following recommendations are made:

Government should improve agricultural productivity to reduce food inflation

Monetary authorities should stabilize exchange rates

Fuel pricing policies should be carefully managed

Businesses should adopt flexible pricing strategies

Households should prioritize budgeting and essential spending

5.4 Final Remark

Inflation remains a critical economic challenge in Nigeria. Continuous monitoring and data-driven decision-making are necessary to reduce its impact on citizens and the economy.